

IMPORTANT NOTICE:

- 1. The insurance policy that you have purchased is being issued by an insurer that is not licensed by the State of California. These companies are called "nonadmitted" or "surplus line" insurers.**
- 2. The insurer is not subject to the financial solvency regulation and enforcement that apply to California licensed insurers.**
- 3. The insurer does not participate in any of the insurance guarantee funds created by California law. Therefore, these funds will not pay your claims or protect your assets if the insurer becomes insolvent and is unable to make payments as promised.**
- 4. The insurer should be licensed either as a foreign insurer in another state in the United States or as a non-United States (alien) insurer. You should ask questions of your insurance agent, broker, or "surplus line" broker or contact the California Department of Insurance at the toll-free number 1-800-927-4357 or internet website www.insurance.ca.gov. Ask whether or not the insurer is licensed as a foreign or non-United States (alien) insurer and for additional information about the insurer. You may also visit the NAIC's internet website at www.naic.org. The NAIC-the National Association of Insurance Commissioners-is the regulatory support organization created and governed by the chief insurance regulators in the United States.**
- 5. Foreign insurers should be licensed by a state in the United States and you may contact that state's department of insurance to obtain more information about that insurer. You can find a link to each state from this NAIC internet website: https://naic.org/state_web_map.htm.**
- 6. For non-United States (alien) insurers, the insurer should be licensed by a country outside of the United States and should be on**

the NAIC's International Insurers Department (IID) listing of approved nonadmitted non-United States insurers. Ask your agent, broker, or "surplus line" broker to obtain more information about that insurer.

7. California maintains a "List of Approved Surplus Line Insurers (LASLI)." Ask your agent or broker if the insurer is on that list, or view that list at the internet website of the California Department of Insurance: www.insurance.ca.gov/01-consumers/120-company/07-lasli/lasli.cfm.

8. If you, as the applicant, required that the insurance policy you have purchased be effective immediately, either because existing coverage was going to lapse within two business days or because you were required to have coverage within two business days, and you did not receive this disclosure form and a request for your signature until after coverage became effective, you have the right to cancel this policy within five days of receiving this disclosure. If you cancel coverage, the premium will be prorated and any broker's fee charged for this insurance will be returned to you.



Policy Premium	\$36,800.00
TRIA	
Brokerage Fee	\$500.00
Policy Fee - Carrier	
Surplus Lines Tax	\$1,104.00
Stamping Office Fee	\$66.24
Total	\$38,470.24

ALLIED WORLD SURPLUS LINES INSURANCE COMPANY
PRODUCT CONTAMINATION POLICY -
FOOD AND BEVERAGE

Policy No: 0312-6627

New/Renewal of: 0312-6627

DECLARATIONS

ITEM 1. A. NAMED INSURED: DLJ Produce, Inc.; Pacific International Cold Storage
B. ADDRESS: 3100 East 29th Street
Long Beach, CA 90806

ITEM 2. **POLICY PERIOD:** INCEPTION DATE*: December 21, 2025
EXPIRATION DATE*: December 21, 2026
*12:01 A.M. STANDARD TIME AT THE ADDRESS STATED
IN ITEM 1. B. ABOVE

ITEM 3. LIMITS OF INSURANCE:

- | | | |
|----|----------------------------------|--|
| A. | US \$5,000,000
US \$5,000,000 | Accidental Contamination Each Incident Limit
Accidental Contamination Aggregate Limit |
| B. | US \$5,000,000
US \$5,000,000 | Malicious Contamination Each Incident Limit
Malicious Contamination Aggregate Limit |
| C. | US \$5,000,000
US \$5,000,000 | Product Extortion Each Incident Limit
Product Extortion Aggregate Limit |
| D. | US \$5,000,000
US \$5,000,000 | Incident Response Fees Each Incident Limit
Incident Response Fees Aggregate Limit |

Subject to the Incident Response Fees Each Incident and Incident Response Fees Aggregate Limits of Insurance, the Company's payment of **Incident Response Fees** shall not reduce the policy's other Limits of Insurance as stated in Items 3.A., 3.B., 3.C., 3.E. and 3.F.

- | | | |
|----|---|----------------------------------|
| E. | 50% of Each Incident
(as applicable) and
Policy Aggregate
Limits | Rehabilitation Expenses Sublimit |
| F. | US \$5,000,000 | Policy Aggregate Limit |

Coverage shall apply, subject to the policy's terms, conditions and exclusions, only for those items that specify an amount above. If no amount is shown above, no coverage applies for such item.

ITEM 4.	NOTICES TO THE COMPANY:	
	A. ALL NOTICES OF INCIDENTS:	ALLIED WORLD SURPLUS LINES INSURANCE COMPANY ATTN: CLAIMS DEPARTMENT 1690 New Britain Avenue, Suite 101 Farmington, Connecticut 06032
	B. ALL OTHER NOTICES:	ALLIED WORLD SURPLUS LINES INSURANCE COMPANY ATTN: GLOBAL CRISIS MANAGEMENT DIVISION 1690 New Britain Avenue, Suite 101 Farmington, Connecticut 06032
	C. FACSIMILE (CLAIMS):	(860) 284-1307
	D. E-MAIL (CLAIMS):	NoticeofLossProductRecall@awac.com
	E. FACSIMILE (ALL OTHER):	(860) 284-1307
ITEM 5.	RETAINED LIMITS:	
	Each Accidental Contamination Incident:	US \$100,000
	Each Malicious Contamination Incident:	US \$100,000
	Each Product Extortion Incident:	US \$0
ITEM 6.	A. ADVANCE PREMIUM:	US \$36,800.00
	B. MINIMUM PREMIUM:	US \$36,800.00
	C. MINIMUM EARNED PREMIUM:	US \$0.00
ITEM 7.	A. REPRESENTATIVE OF INSURED:	RSG Specialty Insurance Services, LLC
	B. ADDRESS:	3400 W Riverside Dr. Suite 1000 Burbank, CA 91505
ITEM 8.	DESIGNATED INCIDENT RESPONSE CONSULTANTS:	Crisis24
ITEM 9.	GROSS PROFIT LOSS PERIOD:	18 Months
ITEM 10.	INSURED PRODUCT(S):	All food and beverage products processed and distributed by the Named Insured(s).

IN WITNESS WHEREOF, we have caused this policy to be executed and attested, but this policy will not be valid unless countersigned by one of our duly authorized representatives, where required by law.



President



Secretary



Authorized Representative

Policy Number: 0312-6627

Named Insured: DLJ Produce, Inc.; Pacific International Cold Storage

Effective Date: December 21, 2025

12:01 A.M., Standard Time

SCHEDULE OF FORMS AND ENDORSEMENT

The following forms and endorsements are made a part of this Policy:

<u>Endorsement Number</u>	<u>Form # / Edition</u>	<u>Title</u>
	CMD-PC 00001 00 (07/16)	Product Contamination Declarations
1	CMD-PC 00003 00 (08/15)	Accidental Contamination Adverse Publicity Endorsement
2	CMD-PC 00020 00 (11/18)	Product Refusal Endorsement
3	CMD-PC 00021 00 (03/23)	Third Party Product Recall Liability Damages Coverage (With Combined Retained Limit)
4	CMD-PC 00026 00 (09/21)	Governmental Recall Endorsement
5	CMD-PC 00023 00 (09/20)	Intentionally Contaminated Ingredients Endorsement
6	CMD-PC 00027 00 (10/21)	Forensic Accounting Endorsement
7	CMD-PC 00030 00 (06/23)	Investigation Expenses Definition Amendatory (With Sublimits And Coinsurance)
8	CMD-PC 00031 00 (02/24)	Unsupported Product Recall Costs Endorsement
9	DP MANU A	Fungi, Rancidity, and Pest Infestation Endorsement
	CMD-PC 00002 00 (09/21)	Product Contamination Policy - Food And Beverage

Initial Actions



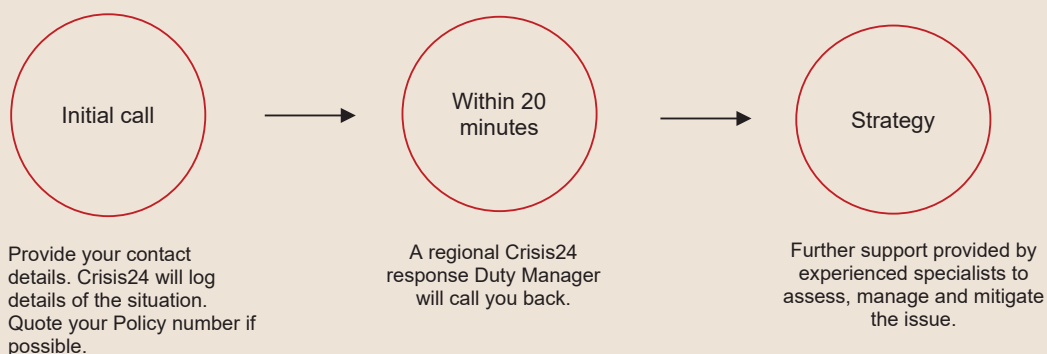
In the event of an actual or suspected incident, immediately contact the 24-hour Crisis Centre Hotline:

US + 1 312 470 3106

You will be asked to provide some basic details about the crisis, and a Response Duty Manager will call back to provide initial advice and to support next steps. Notification to the Crisis Centre Hotline is independent of, and does not supersede, policy requirements for notice of a possible claim under your Insurance policy.

Crisis Response Process

In the event an incident or crisis occurs, we respond immediately to provide you with practical advice, options and scenario planning based on tried and tested procedures. Our primary objective is always the successful resolution of the crisis, to put you back in control. Crisis24 will contact you on the telephone number you have given within 20 minutes. Once the policy has been activated, the following intervention plan will then be put in place:



Get in touch with our Operational Support Team to discuss our full-service offering to find out how we can help you at OSTsupport@crisis24.com

Follow us on Twitter and LinkedIn



Crisis24 can assist with all aspects of prior planning and risk mitigation.

See crisis24.com for information.

NOTICE

WHAT TO DO IF AN INCIDENT OCCURS - GENERAL INFORMATION

In the event of an **Incident** that you believe may be covered under the policy, please immediately contact Crisis24, your **Designated Incident Response Consultants**.

Crisis24 is available globally, 24 hours a day, seven days a week, to advise, assist and respond to emergency situations.

When calling the 24-hour Crisis Center Hotline noted below, please leave your name, company, contact telephone number and the name of your insurance company and policy number (if available) with the operator to help identify your case manager who will respond to your call as soon as possible.

24-hour Crisis Center Hotline

Telephone: +1 312 470 3106

Please be advised that Crisis24 has no authority on behalf of Allied World Surplus Lines Insurance Company ("Allied World") to discuss coverage issues or confirm coverage, or Allied World's liability, rights or obligations under the policy, if any.

THE ROLE OF THE DESIGNATED INCIDENT RESPONSE CONSULTANTS IS LIMITED TO PROVIDING IMMEDIATE ASSISTANCE AND GUIDANCE TO THE INSURED IN THE EVENT OF AN ACTUAL OR THREATENED INSURED INCIDENT. CONSULTANTS DO NOT HAVE THE AUTHORITY ON BEHALF OF UNDERWRITERS TO DEAL WITH MATTERS OF POLICY COVERAGE OR THE APPLICATION OF POLICY TERMS AND CONDITIONS.

Notice of an **Incident** to Crisis24 does not constitute notice of an **Incident** under the policy. **PLEASE REFER TO THE POLICY FOR SPECIFIC INSTRUCTIONS IN THE EVENT OF AN INCIDENT.**

CALIFORNIA – SUITS INVOLVING A SURPLUS LINES BROKER - REMEDIES

- A. A surplus lines insurer may be sued upon any cause of action arising in this state under any surplus lines insurance contract made by it, or any evidence of insurance issued or delivered by the surplus lines broker, pursuant to the procedure set forth in Sections 1610 to 1620, inclusive. Any policy or evidence of insurance issued by the surplus lines insurer or the surplus lines broker shall contain a provision stating the substance of this section, and designating the person to whom the Commissioner shall mail process.
- B. Every surplus lines insurer assuming a surplus lines insurance shall be deemed thereby to have subjected itself to this chapter.
- C. The remedies provided by this section shall be in addition to any other methods provided by law for service of process.

Endorsement No: 1
This Endorsement, effective: December 21, 2025
(at 12:01 A.M. standard time at the address of the Named Insured
as shown in Item 1. B. of the Declarations)
forms a part of Policy No: 0312-6627
Issued to: DLJ Produce, Inc.; Pacific International Cold Storage
by: Allied World Surplus Lines Insurance Company

ACCIDENTAL CONTAMINATION ADVERSE PUBLICITY ENDORSEMENT

All of the policy's terms, conditions and exclusions not amended below apply to the coverage provided by this endorsement.

It is agreed that this policy is amended as follows:

A. The Declarations are amended to include the following additional items:

Accidental Contamination Adverse Publicity Each Incident Sublimit of Insurance: \$5,000,000

Accidental Contamination Adverse Publicity Aggregate Sublimit of Insurance: \$5,000,000

Accidental Contamination Adverse Publicity Retained Limit: \$100,000

B. Section **II. LIMITS OF INSURANCE** is amended to include the following additional provision:

Subject to the Accidental Contamination Adverse Publicity Aggregate Sublimit of Insurance shown in the Declarations (as amended above), the most we will pay for your **Loss** because of **Adverse Publicity** arising from **Accidental Contamination**, in excess of the Accidental Contamination Adverse Publicity Retained Limit shown in the Declarations (as amended above), as a result of one **Incident**, is the Accidental Contamination Adverse Publicity Each Incident Sublimit of Insurance shown in the Declarations (as amended above). All **Adverse Publicity** arising from the same omission, introduction, or error will be considered as arising out of one **Incident**.

Subject to the Policy Aggregate Limit stated in Item 3.F. of the Declarations, the Accidental Contamination Adverse Publicity Aggregate Sublimit of Insurance is the most we will pay under this endorsement for the sum of all damages because of **Adverse Publicity** arising from **Accidental Contamination**.

C. Solely for the purpose of this endorsement, Section **V. DEFINITIONS**, Definitions A. **Accidental Contamination** and B. **Adverse Publicity** are deleted in their entireties and replaced by the following:

A. **Accidental Contamination** means any inadvertent or unintentional contamination or mislabeling of any **Insured Products**, which occurs during or as a direct result of its production, preparation, manufacture, packaging or distribution, provided that the use or consumption of such **Insured Products** has:

1. resulted or would result in bodily injury, sickness or disease, including death, of any person(s), within three hundred and sixty five (365) days following such use or consumption; or
2. caused or would cause physical damage to or destruction of tangible property, other than **Insured Products** themselves.

Accidental Contamination includes creating **Adverse Publicity**.

B. **Adverse Publicity** means the reporting of an actual or alleged **Accidental Contamination** or **Malicious Contamination** during the **Policy Period** in:

1. local, regional or national media (including but not limited to radio, television, newspapers, magazines, or the internet); or
2. any governmental publication;

where the **Insured Products** are sold or distributed and where the **Insured Products** is specifically named.

All other terms and conditions of this policy remain unchanged.

By:



Christian Gravier

Title: President, Professional Lines

Date: January 28, 2026

Endorsement No: 2
This Endorsement, effective: December 21, 2025
(at 12:01 A.M. standard time at the address of the Named Insured as shown in Item 1. B. of the Declarations)
forms a part of Policy No: 0312-6627
Issued to: DLJ Produce, Inc.; Pacific International Cold Storage
by: Allied World Surplus Lines Insurance Company

PRODUCT REFUSAL ENDORSEMENT

All of the policy's terms, conditions and exclusions not amended below apply to the coverage provided by this endorsement.

It is agreed that this policy is amended as follows:

A. The Declarations are amended to include the following additional items:

Product Refusal Each Incident Sublimit of Insurance:	\$1,000,000
Product Refusal Aggregate Sublimit of Insurance:	\$1,000,000
Product Refusal Retained Limit:	\$100,000

B. Section **I. INSURING AGREEMENT** is amended to include the following additional provision:

We will reimburse you for **Loss** caused by an **Incident** of **Product Refusal** first occurring and discovered during the **Policy Period**, and reported to us during the **Policy Period** or within sixty (60) days thereafter, provided such **Insured Product** was **Scheduled For Delivery** during the **Policy Period**.

C. Section **II. LIMITS OF INSURANCE** is amended to include the following additional provision:

Subject to the Product Refusal Aggregate Sublimit of Insurance shown in the Declarations (as amended above), the most we will pay for all damages because of **Product Refusal** under this endorsement, in excess of the Product Refusal Retained Limit shown in the Declarations (as amended above), as a result of one **Incident**, is the Product Refusal Each Incident Sublimit of Insurance shown in the Declarations (as amended above).

Subject to the Policy Aggregate Limit stated in Item 3.F. of the Declarations, the Product Refusal Aggregate Sublimit of Insurance is the most we will pay under this endorsement for the sum of all damages because of **Product Refusal** under this endorsement.

D. Solely for the purpose of this endorsement, Section **V. DEFINITIONS**, is amended to include the following additional definitions:

Product Refusal means the failure by a party in an executed written contract with you to take delivery of possession or title of an **Insured Product** that is **Scheduled For Delivery** during the **Policy Period**, provided that all of the following occur:

1. such failure is caused solely by a **Report** to the general public that the use or consumption of the **Insured Product** would cause **Bodily Injury**;
2. such failure occurs after two or more persons have experienced **Bodily Injury** caused by the consumption or use of a product similar to, but not the **Insured Product**, within three-hundred-and-sixty-five (365) days following such use or consumption of a similar product;

3. such failure occurs after the United States Food and Drug Administration (FDA), United States Department of Agriculture (USDA) or other governmental agency has given written warnings during the **Policy Period** to the public providing specific direction not to use or consume products similar to the **Insured Product**; and
4. the failure to take delivery occurs no more than sixty (60) days after the initial written warning was issued.

Report means the reporting of an actual or alleged event during the **Policy Period** in local, regional or national media (including, but not limited to, radio, television, newspaper, magazines or the internet) or any governmental publication.

Scheduled For Delivery means any **Insured Product** that has been:

1. transported to a destination designated; or
 2. fully harvested and packaged and is in storage ready for delivery;
- pursuant to an executed written contract between you and a third party.

- E. Solely for the purpose of this endorsement, Section **V. DEFINITIONS**, Definition J. **Incident** is amended to include the following additional provision:

Incident means **Product Refusal** as provided by the terms, conditions and exclusions of this policy. With respect to **Product Refusal**, individual failures to take delivery of possession or title of an **Insured Product** that is **Scheduled For Delivery** shall be deemed to be one **Incident** if such failures involve the same or substantially similar: **Reports** to the general public that the use or consumption of the **Insured Product** would cause **Bodily Injury**; **Bodily Injury** caused by the consumption or use of a product similar to, but not the **Insured Product**; or warnings by a governmental agency to the public providing specific direction not to use or consume products similar to the **Insured Product**.

- F. Solely for the purpose of this endorsement, Section **V. DEFINITIONS**, Definition N. **Loss** is deleted in its entirety and replaced by the following:

- N. **Loss** means your sales revenue lost within sixty (60) days after the commencement of that **Product Refusal**, less:

- a. the variable costs that would have been incurred during the same period, but which have been saved as a result of not making those sales (including the cost of raw materials and all other saved costs); and
- b. the increased sales, if any, of any other **Insured Product** within the same product line affected by a **Product Refusal**.

Lost sales revenue payable under this endorsement resulting from a **Product Refusal** shall be assessed by us based on an analysis of the profits generated by the affected **Insured Product** and other **Insured Product(s)** which lost sales as a direct result of the **Product Refusal**, during each month of the twelve (12) months prior to the **Product Refusal**. We will take into account the future profitability of such **Insured Product** had no **Product Refusal** occurred and also all material changes in market conditions of any nature which would have affected the future marketing of and profits generated by the **Insured Product** or other affected **Insured Product(s)**.

Loss also means the following costs and expenses reasonably and necessarily incurred by you arising solely and directly out of an **Incident** of **Product Refusal** covered under this endorsement:

1. the following communications expenses: emergency incident phone lines, public relations specialists, radio, television, internet and media announcements, newspaper and magazine advertising;
2. the expense of renting or hiring additional warehouse storage;
3. the costs of examining, disposing, reworking or destroying the **Insured Product(s)**, whichever is the least, but not exceeding the cost of replacement;
4. the value of any **Insured Product(s)**, including the value of packaging materials that cannot be reused, calculated on a replacement cost basis;
5. transportation costs of the **Insured Product(s)** being moved from any storage facility or customer, to a destination designated by you;
6. employee overtime paid specifically for the recovery of the **Insured Product(s)**;
7. costs to hire additional staff to work on the recovery of the **Insured Product(s)**; or
8. out of pocket expenses of employees incurred while engaged in the recovery of the **Insured Product(s)**.

All other terms and conditions of this policy remain unchanged.

By:



Christian Gravier

Title: President, Professional Lines

Date: January 28, 2026

Endorsement No: 3
This Endorsement, effective: December 21, 2025
(at 12:01 A.M. standard time at the address of the Named Insured as shown in Item 1. B. of the Declarations)
forms a part of Policy No: 0312-6627
Issued to: DLJ Produce, Inc.; Pacific International Cold Storage
by: Allied World Surplus Lines Insurance Company

THIRD PARTY PRODUCT RECALL LIABILITY DAMAGES COVERAGE (WITH COMBINED RETAINED LIMIT)

All of the policy's terms, conditions and exclusions not amended below apply to the coverage provided by this endorsement.

It is agreed that this policy is amended as follows:

A. The Declarations are amended to include the following additional items:

Third Party Product Recall Liability Damages	\$5,000,000
Each Incident Sublimit of Insurance:	
Third Party Product Recall Liability Damages	\$5,000,000
Aggregate Sublimit of Insurance	
Third Party Product Recall Liability Damages Retained Limit:	\$100,000
Combined Retained Limit:	\$100,000

B. Solely for the purposes of this endorsement, Section **V. DEFINITIONS**, Definition N. **Loss** is amended to include the following subparagraph 8. added after subparagraph 7. and before the language that starts with "provided such items above...":

8. Third Party Recall Liability Damages;

C. Solely for the purposes of this endorsement, Section **II. LIMITS OF INSURANCE** is amended to include the following additional provisions:

Subject to the **Third Party Product Recall Liability Damages** Aggregate Sublimit of Insurance shown in the Declarations (as amended above), the most we will pay for the total of all **Third Party Product Recall Liability Damages** in excess of the **Third Party Product Recall Liability Damages** Retained Limit shown in the Declarations (as amended above), as a result of any one **Incident**, is the **Third Party Product Recall Liability Damages** Each **Incident** Sublimit of Insurance shown in the Declarations (as amended above).

Subject to the Policy Aggregate Limit stated in Item 3.F. of the Declarations, the **Third Party Product Recall Liability Damages** Aggregate Sublimit of Insurance is the most we will pay under this endorsement for the sum of all **Third Party Product Recall Liability Damages**.

The highest retained amount you will pay for **Loss** caused by a single **Incident** is the Combined Retained Limit shown in the Declarations (as amended above). The Combined Retained Limit shall be borne by you and remain uninsured.

If a single **Incident** does not meet or exceed the Combined Retained Limit, a portion of the Combined Retained Limit shall apply to any **Loss** that is limited by a sublimit of insurance under this endorsement. The portion of the Combined Retained Limit applicable to the sublimit of insurance shall be calculated

by dividing the **Loss** attributable to the sublimit of insurance by the total amount of **Loss** under this policy multiplied by the Combined Retained Limit.

- D. Solely for the purposes of this endorsement, Section **III. EXCLUSIONS**, Exclusion L. is deleted in its entirety and replaced with the following:

L. The policy does not provide coverage for any **Loss** or related **Incident Response Fees** arising out of, in whole or in part, any injury, damage, **Claim** or **Suit** made by a third party, including any **Defense Costs** related to a third party **Claim** or **Suit** or any associated costs or costs or expenses related to any judicial, governmental or regulatory enquiry, except for any **Third Party Recall Expenses** or **Third Party Product Recall Liability Damages** covered by this policy.

- E. Solely for the purposes of this endorsement, Section **V. DEFINITIONS** is amended to include the following additional definitions:

Claim means a written demand received by you seeking a remedy and alleging liability on your part for **Third Party Product Recall Liability Damages** to which this insurance applies.

Compensatory Damages means those amounts that you are required to pay a distributor, purchaser or user of **Insured Products** as reimbursement for such purchaser's costs incurred in connection with an **Incident**, other than liquidated, punitive or penalty damages.

Defense Costs means reasonable and necessary fees for: service of process and court costs and court expenses; pre- and post-judgment interest; attorneys' fees; cost of investigation services; costs of employing experts; costs for legal transcripts, copies of any public records, and costs of depositions and court-reported or recorded statements; and any similar fee, cost or expense; provided, however, **Defense Costs** shall not include our or your general overhead, the salary or benefits allocable to any of our or your employees, or the fees of any attorney who is our or your employee or under our or your permanent retainer.

Suit means a civil proceeding seeking **Third Party Product Recall Liability Damages** to which this insurance applies, including without limitation any arbitration proceeding or other alternative dispute resolution proceeding seeking **Third Party Product Recall Liability Damages** and to which you must submit or do submit with our consent.

Third Party Product Recall Liability Damages means: (a) any sums that you become legally obligated to pay as **Compensatory Damages**; and (b) your **Defense Costs** resulting from the investigation, negotiation, settlement or defense of a **Claim** or **Suit** brought by an entity other than you or an entity with which you are affiliated, associated or related.

It is understood that to the extent any coverage may otherwise be provided under this policy and its endorsements, the provisions of this endorsement shall be applicable and shall supersede any such other provisions.

All other terms and conditions of this policy remain unchanged.

By:



Christian Gravier

Title: President, Professional Lines

Date: January 28, 2026

Endorsement No: 4
This Endorsement, effective: December 21, 2025
(at 12:01 A.M. standard time at the address of the Named Insured as shown in Item 1. B. of the Declarations)
forms a part of Policy No: 0312-6627
Issued to: DLJ Produce, Inc.; Pacific International Cold Storage
by: Allied World Surplus Lines Insurance Company

GOVERNMENTAL RECALL ENDORSEMENT

All of the policy's terms, conditions and exclusions not amended below apply to the coverage provided by this endorsement.

It is agreed that this policy is amended as follows:

- A. Solely with respect to any coverage provided by this endorsement, the Declarations are amended to include the following additional items:

Governmental Recall Each Incident Sublimit of Insurance:	\$5,000,000
Governmental Recall Aggregate Sublimit of Insurance:	\$5,000,000
Governmental Recall Retained Limit:	\$100,000

- B. Solely with respect to any coverage provided by this endorsement, Section **I. INSURING AGREEMENT**, Paragraph A. is amended to contain the following additional provision:

We will also reimburse you for **Loss** caused by an **Incident** of **Governmental Recall** first discovered and reported to us during the **Policy Period**, or within sixty (60) days thereafter.

- C. Solely with respect to any coverage provided by this endorsement, Section **II. LIMITS OF INSURANCE** is amended to include the following additional provision:

Subject to the Governmental Recall Aggregate Sublimit of Insurance shown in the Declarations (as amended above), the most we will pay for all damages because of **Governmental Recall** under this endorsement, in excess of the Governmental Recall Retained Limit shown in the Declarations (as amended above), as a result of one **Incident**, is the Governmental Recall Each Incident Sublimit of Insurance shown in the Declarations (as amended above).

Subject to the Policy Aggregate Limit stated in Item 3.F. of the Declarations, the Governmental Recall Aggregate Sublimit of Insurance is the most we will pay under this endorsement for the sum of all damages because of **Governmental Recall** under this endorsement.

- D. Solely for the purposes of this endorsement, Section **III. EXCLUSIONS**, Exclusion I. is deleted in its entirety.
- E. Solely with respect to any coverage provided by this endorsement, Section **V. DEFINITIONS**, Definition J. **Incident** is amended to contain the following additional provision:

Incident also means **Governmental Recall**.

With respect to **Governmental Recall**, individual orders or recommendations by the relevant regulatory authority(ies) shall be deemed to be one **Incident** if such orders or recommendations involve the withdrawal, removal, recovery of possession or control, or disposal of your **Insured Product** because of the same or substantially similar contamination or mislabeling of your **Insured Product**.

- F. Solely with respect to any coverage provided by this endorsement, Section **V. DEFINITIONS**, Definition G. **Government Recall** is deleted in its entirety and replaced by the following:

G. **Governmental Recall** means:

1. The recall of **Insured Products** which has been initiated:

- a) voluntarily by you; or

- b) as a result of an order by the **Regulatory Bodies**;

and where either a) or b) above arise directly and solely from a determination by the **Regulatory Bodies** that there is a reasonable probability of **Insured Products** causing serious adverse health consequences or death to humans or animals, or unfit for human consumption, or have otherwise been classified as Class I or Class II by the **Regulatory Bodies**; or

2. any order of suspension of registration of any of your facilities or operations, only in conjunction with or following the recall of **Insured Products** as above, which arises directly and solely from a determination by the **Regulatory Bodies**, that **Insured Products** which have been manufactured, processed, packed, received or held by you at the same suspended facilities or operations have a reasonable probability of causing serious adverse health consequences or death to humans or animals, or have otherwise been classified as Class I or Class II by the **Regulatory Bodies**; or
3. outside the United States of America or Canada, the recall of **Insured Products** that has been ordered by any country's national regulatory or judicial body pursuant to regulations on food safety but only in respect to the actual or likely threat of **Insured Products** causing physical bodily injury or death to humans or animals.

- G. Section **V. DEFINITIONS** is amended to contain the following additional definition:

Regulatory Bodies means the United States Food and Drug Administration, the United States Department of Agriculture, the Canadian Food Inspection Agency or any other United States or Canadian state or regulatory body with similar authority with regard to food safety.

All other terms and conditions of this policy remain unchanged.

By:



Christian Gravier

Title: **President, Professional Lines**

Date: **January 28, 2026**

Endorsement No: 5
This Endorsement, effective: December 21, 2025
(at 12:01 A.M. standard time at the address of the Named Insured as shown in Item 1. B. of the Declarations)
forms a part of Policy No: 0312-6627
Issued to: DLJ Produce, Inc.; Pacific International Cold Storage
by: Allied World Surplus Lines Insurance Company

INTENTIONALLY CONTAMINATED INGREDIENTS ENDORSEMENT

All of the policy's terms, conditions and exclusions not amended below apply to the coverage provided by this endorsement.

It is agreed that this policy is amended as follows:

- A. Solely with respect to any coverage provided by this endorsement, the Declarations are amended to include the following additional items:

Intentionally Contaminated Ingredients Each Incident Sublimit of Insurance: \$5,000,000

Intentionally Contaminated Ingredients Aggregate Sublimit of Insurance: \$5,000,000

Intentionally Contaminated Ingredients Retained Limit: \$100,000

- B. Solely with respect to any coverage provided by this endorsement, Section **I. INSURING AGREEMENT**, Paragraph A. is amended to contain the following additional provision:

We will also reimburse you for **Loss** caused by an **Incident** of **Intentionally Contaminated Ingredients** first discovered and reported to us during the **Policy Period**, or within sixty (60) days thereafter.

- C. Solely with respect to any coverage provided by this endorsement, Section **II. LIMITS OF INSURANCE** is amended to include the following additional provision:

Subject to the Intentionally Contaminated Ingredients Aggregate Sublimit of Insurance shown in the Declarations (as amended above), the most we will pay for your **Loss** because of **Intentionally Contaminated Ingredients** in excess of the Intentionally Contaminated Ingredients Retained Limit shown in the Declarations (as amended above), as a result of one **Incident**, is the Intentionally Contaminated Ingredients Each Incident Sublimit of Insurance shown in the Declarations (as amended above).

Subject to the Policy Aggregate Limit stated in Item 3.F. of the Declarations, the Intentionally Contaminated Ingredients Aggregate Sublimit of Insurance is the most we will pay under this endorsement for the sum of all damages because of **Intentionally Contaminated Ingredients**.

- D. Solely with respect to any coverage provided by this endorsement, Section **V. DEFINITIONS**, Definition J. **Incident** is amended to contain the following additional provision:

Incident also means **Intentionally Contaminated Ingredients**.

With respect to **Intentionally Contaminated Ingredients**, individual contamination or mislabeling events shall be deemed to be one **Incident** if the same or substantially similar error or introduction of a contaminated ingredient or component causes such contamination.

- E. Solely with respect to any coverage provided by this endorsement, Section **V. DEFINITIONS** is amended to contain the following additional definition:

Intentionally Contaminated Ingredients means any contamination of **Insured Products** that occurs as a result of an ingredient supplied to you by a third party where such contamination was intentional but not malicious and renders the **Insured Products** dangerous for its intended use or consumption.

All other terms and conditions of this policy remain unchanged.

By:



Christian Gravier

Title: President, Professional Lines

Date: January 28, 2026

Endorsement No: 6
This Endorsement, effective: December 21, 2025
(at 12:01 A.M. standard time at the address of the Named Insured as shown in Item 1. B. of the Declarations)
forms a part of Policy No: 0312-6627
Issued to: DLJ Produce, Inc.; Pacific International Cold Storage
by: Allied World Surplus Lines Insurance Company

FORENSIC ACCOUNTING ENDORSEMENT

All of the policy's terms, conditions and exclusions not amended below apply to the coverage provided by this endorsement.

It is agreed that this policy is amended as follows:

A. The Declarations are amended to include the following additional items:

Forensic Accounting Each Incident Sublimit of Insurance:	\$50,000
Forensic Accounting Aggregate Sublimit of Insurance:	\$50,000
Forensic Accounting Retained Limit:	\$100,000

B. Section II. **LIMITS OF INSURANCE** is amended to include the following additional provision:

Subject to the Forensic Accounting Aggregate Sublimit of Insurance shown in the Declarations (as amended above), the most we will pay for all costs and expenses of forensic accounting for the purpose of assisting you with the presentation of a **Loss** to us under this endorsement, in excess of the Forensic Accounting Retained Limit shown in the Declarations (as amended above), as a result of one **Incident**, is the Forensic Accounting Each Incident Sublimit of Insurance shown in the Declarations (as amended above).

Subject to the Policy Aggregate Limit stated in Item 3.F. of the Declarations, the Forensic Accounting Aggregate Sublimit of Insurance is the most we will pay under this endorsement for all costs and expenses of forensic accounting for the purpose of assisting you with the presentation of a **Loss** to us.

C. Solely for the purpose of this endorsement, Section V. **DEFINITIONS**, Definition N. **Loss** is amended to include the following additional provision:

Loss also includes the costs and expenses of forensic accounting for the purpose of assisting you with the presentation of a **Loss** to us.

All other terms and conditions of this policy remain unchanged.

By:



Christian Gravier

Title: President, Professional Lines

Date: January 28, 2026

Endorsement No: 7
This endorsement, effective: December 21, 2025
(at 12:01 A.M. standard time at the address of the Named Insured as shown in Item 1. B. of the Declarations)
forms a part of Policy No: 0312-6627
Issued to: DLJ Produce, Inc.; Pacific International Cold Storage
by: Allied World Surplus Lines Insurance Company

INVESTIGATION EXPENSES DEFINITION AMENDATORY (WITH SUBLIMITS AND COINSURANCE)

All of the policy's terms, conditions and exclusions not amended below apply to the coverage provided by this endorsement.

It is agreed that this policy is amended as follows:

A. The Declarations are amended to include the following additional items:

Investigation Expenses Each Incident Sublimit of Insurance: \$50,000.00

Investigation Expenses Aggregate Sublimit of Insurance: \$50,000.00

Coinsurance Percentage: 10%

B. Section **V. DEFINITIONS**, Definitions M. **Investigation Expenses** is deleted in its entirety and replaced by the following:

M. **Investigation Expenses** means one of more of the following reasonable and necessary costs and expenses incurred by you for:

1. chemical analysis;
2. physical examination; or
3. other laboratory testing;

provided such items above are incurred to confirm contamination of an **Insured Product** or the potential effect of an **Incident**.

Investigation Expenses are subject to the Investigation Expenses Sublimits of Insurance stated in the Declarations (as amended above). Subject to the Investigation Expenses Aggregate Sublimit of Insurance shown in the Declarations (as amended above), the most we will pay for your **Investigation Expenses** as a result of one **Incident**, is the Investigation Expenses Each Incident Sublimit of Insurance shown in the Declarations (as amended above). Subject to the Policy Aggregate Limit stated in Item 3.F. of the Declarations, the Investigation Expenses Aggregate Sublimit of Insurance is the most we will pay under this endorsement for all your **Investigation Expenses**. The Investigation Expenses Sublimits of Insurance shall be part of, and not in addition, to the Limits of Insurance shown in the Declarations, and shall reduce the Limits of Insurance.

All **Investigation Expenses** arising from the same omission, introduction, or error will be considered as arising out of one **Incident**.

Investigation Expenses shall not be subject to the **Retained Limit**, but shall be subject to the **Coinsurance Amount**.

- C. Solely for the purpose of this endorsement, Section **V. DEFINITIONS**, is amended to include the following additional definitions:

Coinsurance Amount means the total **Investigation Expenses** arising out of an **Incident** multiplied by the **Coinsurance Percentage**.

Coinsurance Percentage means the percentage shown in the Declarations (as amended above).

All other terms and conditions of this policy remain unchanged.

By:



Christian Gravier

Title: President, Professional Lines

Date: January 28, 2026

Endorsement No: 8
This endorsement, effective: December 21, 2025
(at 12:01 A.M. standard time at the address of the Named Insured as shown in Item 1. B. of the Declarations)
forms a part of Policy No: 0312-6627
Issued to: DLJ Produce, Inc.; Pacific International Cold Storage
by: Allied World Surplus Lines Insurance Company

UNSUPPORTED PRODUCT RECALL COSTS ENDORSEMENT

All of the policy's terms, conditions and exclusions not amended below apply to the coverage provided by this endorsement.

It is agreed that this policy is amended as follows:

A. The Declarations are amended to include the following additional items:

Unsupported Product Recall Costs Each Incident Sublimit of Insurance:	\$50,000.00
Unsupported Product Recall Costs Aggregate Sublimit of Insurance:	\$50,000.00
Unsupported Product Recall Costs Retained Limit:	\$100,000.00

B. Section II. **LIMITS OF INSURANCE** is amended to include the following additional provision:

Subject to the Unsupported Product Recall Costs Aggregate Sublimit of Insurance shown in the Declarations (as amended above), the most we will pay for **Unsupported Product Recall Costs** under this endorsement, in excess of the Unsupported Product Recall Costs Retained Limit shown in the Declarations (as amended above), as a result of one **Incident**, is the Unsupported Product Recall Costs Each Incident Sublimit of Insurance shown in the Declarations (as amended above).

Subject to the Policy Aggregate Limit stated in Item 3.F. of the Declarations, the Unsupported Product Recall Costs Aggregate Sublimit of Insurance is the most we will pay under this endorsement for all **Unsupported Product Recall Costs**.

C. Solely for the purpose of this endorsement, Section V. **DEFINITIONS**, Definition N. **Loss** is amended to include the following additional provision:

Loss also includes **Unsupported Product Recall Costs**.

D. Solely for the purpose of this endorsement, Section V. **DEFINITIONS** is amended to include the following additional definition:

Unsupported Product Recall Costs means expenses that are unsubstantiated by documentation or receipts incurred by third parties selling an **Insured Product** provided:

1. such expenses are solely and directly related to an **Incident**; and
2. the Named Insured has an obligation to pay because of the terms of a contract executed prior to the **Incident**.

E. Solely for the purpose of this endorsement, Section V. **DEFINITIONS**, Definition V. **Third Party Recall Expenses** is deleted in its entirety and replaced by the following:

- V. **Third Party Recall Expenses** are your customer's reasonably and necessary **Recall Expenses** incurred by such customer to recall their contaminated product, which uses your **Insured Product** that has been the subject of an **Incident** as an ingredient or component. **Third Party Recall Expenses** do not include **Unsupported Product Recall Costs**.

All other terms and conditions of this policy remain unchanged.

By:



Christian Gravier

Title: President, Professional Lines

Date: January 28, 2026

Endorsement No: 9
This Endorsement, effective: December 21, 2025
(at 12:01 A.M. standard time at the address of the Named Insured as shown in Item 1. B. of the Declarations)
forms a part of Policy No: 0312-6627
Issued to: DLJ Produce, Inc.; Pacific International Cold Storage
by: Allied World Surplus Lines Insurance Company

FUNGI CONTAMINATION, RANCIDITY, AND PEST INFESTATION ENDORSEMENT

All of the policy's terms, conditions and exclusions not amended below apply to the coverage provided by this endorsement.

It is agreed that this policy is amended as follows:

- A. Solely with respect to any coverage provided by this endorsement, the Declarations are amended to include the following additional items:

Fungi Contamination, Rancidity and Pest Infestation Each Incident Sublimit of Insurance:	\$250,000
Fungi Contamination, Rancidity and Pest Infestation Aggregate Sublimit of Insurance:	\$250,000
Fungi Contamination, Rancidity and Pest Infestation Retained Limit:	\$100,000

- B. Solely with respect to any coverage provided by this endorsement, Section **I. INSURING AGREEMENT**, Paragraph A. is amended to include the following additional provision:

We will also reimburse you for **Loss** caused by an **Incident** of any accidental or unintentional contamination error, omission, deficiency or inadequacy of an **Insured Product** that causes such **Insured Product** to differ from its usual condition because of:

1. **Fungi Contamination;**
2. **Rancidity;** or
3. **Pest Infestation;**

and as a result such affected **Insured Product** is not fit for its intended use and where the consumption of such **Insured Product** would not result in **Bodily Injury** or damage to property; and provided that such **Fungi Contamination, Rancidity or Pest Infestation** is first discovered and reported to us during the **Policy Period**, or within sixty (60) days thereafter.

- C. Solely with respect to any coverage provided by this endorsement, Section **II. LIMITS OF INSURANCE** is amended to include the following additional provision:

Subject to the Fungi Contamination, Rancidity and Pest Infestation Aggregate Sublimit of Insurance shown in the Declarations (as amended above), the most we will pay for all damages because of **Fungi Contamination, Rancidity or Pest Infestation** under this endorsement, in excess of the Fungi Contamination, Rancidity and Pest Infestation Retained Limit shown in the Declarations (as amended above), as a result of one **Incident**, is the Fungi Contamination, Rancidity and Pest Infestation Each Incident Sublimit of Insurance shown in the Declarations (as amended above).

Subject to the Policy Aggregate Limit stated in Item 3.F. of the Declarations, the Fungi Contamination, Rancidity and Pest Infestation Aggregate Sublimit of Insurance is the most we will pay under this endorsement for the sum of all damages because of **Fungi Contamination, Rancidity or Pest Infestation** under this endorsement.

- D. Section **III. EXCLUSIONS** is amended to contain the following additional exclusion:

The policy does not provide coverage for any **Loss** or related **Incident Response Fees** arising out of, in whole or in part, any **Pest Infestation** where regular pest control preventative measures are not completed at the insured's facilities as regularly scheduled.

- E. Solely with respect to any coverage provided by this endorsement, Section **V. DEFINITIONS**, Definition J. **Incident** is amended to include the following additional provision:

Incident also means **Fungi Contamination, Rancidity or Pest Infestation** as described in this endorsement.

With respect to **Fungi Contamination, Rancidity or Pest Infestation**, all insured **Loss** resulting from an **Incident** and arising from the same, continuous, related or repeated conditions or events shall be treated as arising out of one **Incident**.

- F. Solely with respect to any coverage provided by this endorsement, Section **V. DEFINITIONS**, Definition N. **Loss** is deleted in its entirety and replaced by the following:

- N. **Loss** means only the following reasonable and necessary expenses paid by you directly and solely as a result of an **Incident**:

1. expenses of forensic accounting for the purpose of assisting you with the presentation of a **Loss** to us;
2. **Investigation Expenses**; and
3. **Recall Expenses**;

provided such items above arise solely and directly out of an **Incident** and are incurred within twelve (12) months after your discovery of such **Incident**.

In no event will any amounts claimed and paid in relation to one **Incident** be recoverable in relation to another **Incident**.

- G. Solely with respect to this endorsement, Section **V. DEFINITIONS**, Definition D. **Contaminated Products** is deleted in its entirety and replaced by the following:

- D. **Contaminated Products** means **Insured Products** that have sustained **Fungi Contamination, Rancidity or Pest Infestation**.

- H. Solely with respect to this endorsement, Section **V. DEFINITIONS** is amended to include the following additional definitions:

Fungi Contamination means the contamination of an **Insured Product** with fungi (including but not limited to mold or yeast) above guidance and allowances set by the pertinent regulators in your jurisdiction.

Rancidity shall mean the **Insured Product** becoming rancid prior to the end of the expected shelf life of the **Insured Product** resulting in premature spoilage of **Insured Product**.

Pest Infestation shall mean the clear and identifiable presence of pests (including but not limited to insects and rodents) within the **Insured Product**, above guidance and allowances set by the pertinent regulators in your jurisdiction.

All other terms and conditions of this policy remain unchanged.

By:



Christian Gravier

Title: President, Professional Lines

Date: January 28, 2026

**POLICYHOLDER DISCLOSURE STATEMENT
UNDER THE
TERRORISM RISK INSURANCE ACT**

The Insured is hereby notified that under the federal Terrorism Risk Insurance Act, as amended, (the "Act"), the Insured has a right to purchase insurance coverage for losses arising out of an Act of Terrorism, as defined in Section 102(1) of the Act. The term "act of terrorism" means any act certified by the Secretary of the Treasury, in consultation with the Secretary of Homeland Security and the Attorney General of the United States to be an act of terrorism; to be a violent act or an act that is dangerous to human life, property, or infrastructure; to have resulted in damage within the United States, or outside of the United States in case of certain air carriers or vessels or the premises of a United States mission; and to have been committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion. The Insured should read the Act for a complete description of its coverage. The Secretary's decision to certify or not to certify an event as an Act of Terrorism covered by the Act is final and not subject to review.

Coverage provided by this policy for losses caused by a Certified Act of Terrorism may be partially reimbursed by the United States Government under a formula established by federal law. However, the Insured's policy may contain other exclusions that might affect coverage, such as an exclusion for nuclear events. Under the formula, the United States Government will generally reimburse 85% through 2015; 84% beginning on January 1, 2016; 83% beginning on January 1, 2017; 82% beginning on January 1, 2018; 81% beginning on January 1, 2019; and 80% beginning on January 1, 2020, of covered terrorism losses exceeding a statutorily established deductible that we must meet, and which deductible is based on a percentage of our direct earned premiums for the year preceding the Certified Act of Terrorism.

Be advised that the Terrorism Risk Insurance Act, as amended, contains a \$100 billion cap on all losses resulting from Certified Acts of Terrorism. If aggregate insured losses attributable to Certified Acts of Terrorism exceed \$100 billion in a calendar year, the United States Government shall not make any payment for any portion of the amount of such loss that exceeds \$100 billion. If aggregate insured losses attributable to Certified Acts of Terrorism exceed \$100 billion in a calendar year and we have met our deductible under the Act, we shall not be liable for payment of any portion of the losses that exceeds \$100 billion, and in such case, insured losses up to that amount are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury.

Coverage for "insured losses" as defined in the Act is subject to the coverage terms, conditions, amounts and limits in this policy applicable to losses arising from events other than Certified Acts of Terrorism.

The Insured should know that under federal law, the Insured is not required to purchase coverage for losses caused by Certified Acts of Terrorism.

Please indicate the selection of the Insured below.

___ The Insured hereby elects to purchase coverage in accordance with the Act for a premium of \$364.00.

___ The Insured hereby rejects coverage and accepts reinstatement of the exclusion in accordance with the Act.

Signature of Insured

DLJ Produce, Inc.; Pacific International Cold Storage

Print/Title

0312-6627

Date



PRODUCT CONTAMINATION POLICY - FOOD AND BEVERAGE

Various provisions in this policy restrict coverage. Read the entire policy carefully to determine rights, duties and what is and is not covered.

Throughout this policy the words "you" and "your" refer to the Named Insured shown in the Declarations and other person or organization qualifying as a Named Insured under this policy.

The words "we", "us" and "our" refer to the company providing this insurance.

The word "policy" means the various sections of this contract, as well as the Declarations and any endorsements and Schedules made a part of this contract by reference.

In the policy, references to the singular shall include the plural and references to the plural shall include the singular, where applicable.

Except for headings, words that appear in **bold print** have special meaning. See Section **V. DEFINITIONS**.

In consideration of the payment of the premium and in reliance upon the representations and warranties in the Application for this insurance and the statements in the Declarations, we agree to provide coverage as follows:

I. INSURING AGREEMENT

A. We will reimburse you for **Loss** caused by an **Incident** of:

1. **Accidental Contamination**;
2. **Malicious Contamination**; or
3. **Product Extortion**;

first discovered and reported to us during the **Policy Period**, or within sixty (60) days thereafter.

B. We will reimburse you for, or pay directly to **Designated Incident Response Consultants**, **Incident Response Fees**, which are incurred with our prior written consent in response to an **Incident**, provided that:

1. You obtain our prior written consent before you appoint such **Designated Incident Response Consultants**;
2. Our rights and obligations under this policy shall not be determined by **Designated Incident Response Consultants**, who have no authority to agree on our behalf to any such matter. Any **Incident Response Fees** reimbursed or paid to respond to an **Incident** does not constitute our acceptance of any liability for **Loss**; and

3. You must immediately notify **Designated Incident Response Consultants** in writing upon discovery of an actual or potential **Incident** that may involve this policy. Such **Designated Incident Response Consultants** will assist you in responding to an **Incident**.

II. LIMITS OF INSURANCE

- A. Our rights and obligations shall not exceed the amounts (including sublimits, as applicable) stated for each **Incident** in Item 3. of the Declarations.
- B. The Policy Aggregate Limit stated in Item 3.F. of the Declarations is the most we will pay for all **Loss** under this policy, regardless of the number of **Incidents** or coverages provided under this policy.
- C. This policy applies only to **Loss** in excess of any applicable **Retained Limit** stated in Item 5. of the Declarations, except for **Incident Response Fees**, which are not subject to a **Retained Limit**.
- D. The Accidental Contamination Each Incident Limit stated in Item 3.A. of the Declarations is the most we will pay for **Accidental Contamination** arising out of one **Incident**. The Accidental Contamination Aggregate Limit stated in Item 3.A. of the Declarations is the most we will pay for all **Accidental Contamination** covered under this policy.
- E. The Malicious Contamination Each Incident Limit stated in Item 3.B. of the Declarations is the most we will pay for **Malicious Contamination** arising out of one **Incident**. The Malicious Contamination Aggregate Limit stated in Item 3.B. of the Declarations is the most we will pay for all **Malicious Contamination** covered under this policy.
- F. The Product Extortion Each Incident Limit stated in Item 3.C. of the Declarations is the most we will pay for **Product Extortion** arising out of one **Incident**. The Product Extortion Aggregate Limit stated in Item 3.C. of the Declarations is the most we will pay for all **Product Extortion** covered under this policy.
- G. The Incident Response Fees Each Incident Limit stated in Item 3.D. of the Declarations is the most we will pay for **Incident Response Fees** incurred for each **Incident**. The Incident Response Fees Aggregate Limit stated in Item 3.D. of the Declarations is the most we will pay for all **Incident Response Fees** covered under this policy. Our payment of **Incident Response Fees** shall not reduce the policy's other Limits of Insurance as stated in paragraphs A., B., C., E. and F. of Item 3. of the Declarations.
- H. The Limits of Insurance of this policy apply separately to each consecutive annual period and to any remaining period of less than twelve (12) months, beginning with the inception date of the **Policy Period** shown in the Declarations, unless the **Policy Period** is extended after issuance for an additional period of less than twelve (12) months. In that case, the additional period will be deemed part of the last preceding period for purposes of determining the Limits of Insurance of this policy.
- I. We will not make any payment under this policy, except for payment of **Incident Response Fees**, unless and until the total applicable **Retained Limit** has been satisfied by the payment of **Loss** to which this policy applies.
- J. Our liability in respect of **Rehabilitation Expenses** shall not exceed the Rehabilitation Expenses Sublimit of Insurance. The Rehabilitation Expenses Sublimit of Insurance is the percentage, as

stated in Item 3.E. of the Declarations, of the Each Incident (as applicable) and Policy Aggregate Limits of Insurance.

- K. Coverage shall apply, subject to the policy's terms, conditions and exclusions, only for those items that specify an amount in the Limits of Insurance, Item 3. of the Declarations. If no amount is shown in the Limit of Insurance, Item 3. of the Declarations, no coverage applies for such item.

III. EXCLUSIONS

- A. The policy does not provide coverage for any **Loss** or related **Incident Response Fees** arising out of, in whole or in part:
1. **Bodily Injury**, mental anguish, mental injury, shock or humiliation resulting from any of these at any time, sustained by any person, including your employees and their heirs;
 2. physical injury sustained by any animal; or
 3. property damage or physical injury to tangible property, including all resulting loss of use of such property, or loss of use of tangible property that is not physically injured.
- B. The policy does not provide coverage for any **Loss** or related **Incident Response Fees** arising out of, in whole or in part, any **Incident**, including any related publicity or **Adverse Publicity**, of your competitor's products or products similar to your products.
- C. This policy does not provide coverage for any **Loss** or related **Incident Response Fees** arising out of, in whole or in part, any **Incident** or any circumstance that could give rise to an **Incident**, which you discovered or was known, or should have reasonably been known, prior to the inception of the **Policy Period**.
- D. The policy does not provide coverage for any **Loss** or related **Incident Response Fees** arising out of, in whole or in part, any **Incident** expected or intended from the standpoint of you or any insured. However, this exclusion D. does not apply to **Malicious Contamination** or **Product Extortion**.
- E. The policy does not provide coverage for any **Loss** or related **Incident Response Fees** arising out of, in whole or in part, any fines, penalties, punitive or liquidated damages, or governmental sanctions, regardless if such fine, penalty, punitive or liquidated damages or sanction is incurred by you or another person or organization.
- F. The policy does not provide coverage for any **Loss** or related **Incident Response Fees** arising out of, in whole or in part, any fraudulent, illegal or criminal act by your director or officer, whether acting alone or in collusion with others.
- G. The policy does not provide coverage for any **Loss** or related **Incident Response Fees** arising out of, in whole or in part, any **Incident** not advised to us during the **Policy Period** or within sixty (60) days after the expiration of the **Policy Period** or not in accordance with Section **IV. CONDITIONS**, Condition P. **Notice of Incident**.
- H. The policy does not provide coverage for any **Loss** or related **Incident Response Fees** arising out of, in whole or in part:
1. your intentional violation of any law or regulation regarding the assembly, blending, compounding, distribution, labeling (including instructions for use), manufacture, mixing, packaging, preparation, processing, production, sale or storage, of an **Insured Product**; or
 2. the use of ingredients, materials or substances in any **Insured Product**, which have been banned by any national, international, governmental or local authority.

- I. This policy does not provide coverage for any **Loss** or related **Incident Response Fees** arising out of, in whole or in part, any **Government Recall**.
- J. The policy does not provide coverage for any **Loss** or related **Incident Response Fees** arising out of, in whole or in part, loss of or diminution in value of any crop, livestock, water or land.
- K. The policy does not provide coverage for any **Loss** or related **Incident Response Fees** arising out of, in whole or in part, nuclear reaction, nuclear radiation or radioactive contamination, all whether controlled or uncontrolled, or resulting from any act or condition incident to any of the foregoing, whether such **Loss** be direct or indirect, proximate or remote, or be in whole or in part caused by, contributed to, or aggravated by an **Incident** or otherwise.
- L. The policy does not provide coverage for any **Loss** or related **Incident Response Fees** arising out of, in whole or in part, any injury, damage or claim made by a third party, including any defense costs related to a third party lawsuit or any associated costs or costs or expenses related to any judicial, governmental or regulatory enquiry, except for any **Third Party Recall Expenses** covered by this policy.
- M. This policy does not provide coverage for any **Loss** or related **Incident Response Fees**, arising out of, in whole or in part, war, whether declared or not, or any act or condition incident to war. War includes:
 - 1. Civil war;
 - 2. Armed conflict between two or more nations, armed conflict between military forces of any origin, or warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or
 - 3. Insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.
- N. This policy does not apply to any **Loss** or related **Incident Response Fees** or claim asserted by or on behalf of an insured against another insured.
- O. The policy does not provide coverage for any **Loss** or related **Incident Response Fees** arising out of, in whole or in part, any one or more of the following:
 - 1. bioengineering, genetic engineering or genetic modification of any **Insured Product**;
 - 2. hormone treatment of any **Insured Product**;
 - 3. irradiation of any **Insured Product**;
 - 4. Avian Influenza Virus;
 - 5. Creutzfeldt-Jacob Disease or any other Transmissible Spongiform Encephalopathies (TSE);
 - 6. The presence of any of dioxin or any quantity of dioxin-containing materials in the **Insured Product**; or
 - 7. Carcinogenic contamination regardless of whether such carcinogens are shown to have other non-carcinogenic effects.
- P. This policy does not provide coverage for **Adverse Publicity** generated by any of the insured's directors, officers or trustees.

IV. CONDITIONS

A. Assistance and Cooperation

As a condition precedent to coverage, you and any other involved insured must cooperate fully with us in the investigation or settlement of an **Incident** and in all other matters relating to this policy. You must:

1. attend hearings and trials;
2. obtain the attendance of witnesses;
3. authorize us to obtain records and other information;
4. maintain comprehensive records of the expenses incurred and actions taken to prevent, mitigate, avoid or diminish any **Loss** covered under this policy;
5. produce and allow us to examine any documentary evidence, books of account, accounting information, bills, invoices and other vouchers;
6. provide us with a signed and sworn proof of **Loss** statements containing all information we request, including any documentation relating to your calculation of **Loss**;
7. allow us reasonable access to your premises;
8. retain samples of any **Contaminated Products** for us, and permit us to take samples of damaged and undamaged goods and products for inspection, testing and analysis. If applicable, we retain the right, but not the duty, to salvage;
9. assist us in effecting settlements or conducting litigation, arbitration or other proceedings;
10. assist us, upon our request, in the enforcement of any right against any person or organization that may be liable to you because of **Loss**, injury or damage to which this insurance may also apply; or
11. submit to an examination under oath by any person named by us.

You will not, except at your own cost, voluntarily make a payment, assume any obligation or incur any expense, other than for first aid, without our prior written consent.

B. Audit

We may audit and examine your books and records as they relate to this policy at any time during the **Policy Period** of this policy and for up to three (3) years after the expiration or termination of this policy.

C. Cancellation

1. You may cancel this policy. You must mail or deliver advance written notice to us stating when the cancellation is to take effect.
2. We may cancel this policy. If we cancel because of non-payment of premium, we must mail or deliver to you not less than ten (10) days advance written notice stating when the cancellation is to take effect. If we cancel for any other reason, we must mail or deliver to you not less than sixty (60) days advance written notice stating when the cancellation is to take

effect. Mailing that notice to you at your mailing address shown in Item 1. of the Declarations will be sufficient to prove notice.

3. The **Policy Period** will end on the day and hour stated in the cancellation notice.
4. If we cancel, final premium will be calculated pro rata based on the time this policy was in force. Final premium will be the greater of the following amounts:
 - a. the pro rata share of the Minimum Premium shown in Item 6.B. of the Declarations; or
 - b. the Minimum Earned Premium shown in Item 6.C. of the Declarations.
5. If you cancel, final premium will be more than pro rata; it will be based on the time this policy was in force and increased by our short rate cancellation table (attached to this policy), and procedure. Final premium will be the greater of the following amounts:
 - a. the short rate share of the Minimum Premium shown in Item 6. of the Declarations; or
 - b. the Minimum Earned Premium shown in Item 6.C. of the Declarations.
6. Premium adjustment may be made at the time of cancellation or as soon as practicable thereafter, but the cancellation will be effective even if we have not made or offered any refund of unearned premium. Our check or our representative's check, mailed or delivered, will be sufficient tender of any refund due you.
7. The first Named Insured in Item 1. of the Declarations will act on behalf of all other insureds with respect to the giving and receiving of notice of cancellation and the receipt of any refund that may become payable under this policy.
8. Any of these provisions that conflict with a law that controls the cancellation of the insurance in this policy is changed by this statement to comply with that law.

D. **Change In Control**

You shall give us written notice within ninety (90) days of any insured's:

1. Consolidation or merger with another entity;
2. Acquisition of the majority stock ownership of another entity; or
3. Acquisition of the assets of any other entity whose revenues are in excess of ten percent (10%) of the gross revenue of the insured as of the effective date of such consolidation, merger, or acquisition.

We may elect to accept or reject any additional exposure created by any event specified in 1. through 3. above. If the additional exposure is rejected, it will remain covered only until the insured is notified in writing of the rejection. Notwithstanding anything to the contrary, failure to provide notice of any event specified in 1. through 3. above within the time frame set forth above shall automatically preclude the additional exposure from coverage.

If we accept the additional exposure, the insured shall pay us any additional premium as may be required by us, computed from the effective date of such consolidation, merger or acquisition, to the end of the **Policy Period** unless otherwise specifically requested.

No **Loss** arising out of the additional exposure will be covered unless you, at the time such

consolidation, merger or acquisition became effective, did not know and could not have reasonably been expected to know of any **Incident** or the likelihood thereof.

E. **Changes**

Notice to any agent or knowledge possessed by any agent or any other person will not effect a waiver or change in any part of this policy. This policy can be changed only by a written endorsement that we make to this policy.

F. **Choice of Law and Service of Suit**

1. This policy, and any dispute, controversy or claim arising out of, or relating to, this policy, shall be governed by and construed in accordance with the internal laws of the State of New York, United States without giving effect to provisions regarding choice of law.
2. Based upon the requirement discussed below and in the event of any dispute, controversy or claim hereunder, we, at your request, will submit to the jurisdiction of a federal court of competent jurisdiction within the United States. However, pursuant to the requirement below, we reserve the right to commence an action in any court of competent jurisdiction in the United States, to remove an action to a United States District Court, or to seek transfer of a case to another court as permitted by the laws of the United States or of any state in the United States. It is further agreed that service of process in such suit may be made upon counsel, Legal Department, Allied World Surplus Lines Insurance Company, 1690 New Britain Avenue, Suite 101, Farmington, CT 06032, or his or her representative, and that in any suit instituted against us upon this policy, we will abide by the final decision of such court or of any appellate court in the event of an appeal.

Further, pursuant to any statute of any state, territory, or district of the United States which makes provision therefor, we hereby designate the Superintendent, Commissioner or Director of Insurance, or other officer specified for that purpose in the statute, or his or her successors in office, as its true and lawful attorney upon whom may be served any lawful process in any action, suit, or proceeding instituted by you or on your behalf or any beneficiary hereunder arising out of this policy of insurance and hereby designate the above named Counsel as the person to whom the said officer is authorized to mail such process or a true copy thereof.

The foregoing service of suit condition contained in subparagraph 2. above will not be read to conflict with or override the condition that the internal laws of the State of New York will govern this policy, and any dispute, controversy or claim arising out of, or relating to, this policy, as provided in the subparagraph 1. of this condition. The service of suit condition contained in subparagraph 2. above is subject to the choice of law condition contained in the subparagraph 1. above, and not intended to be an alternative to such choice of law condition of this policy.

G. **Computation of Loss**

1. We shall make payment for any covered **Loss** as soon as practicable, which shall be accompanied by our explanation of how we calculated the **Loss**, along with our assumptions. You shall procure materials, in accordance with Condition A. **Assistance and Cooperation**, which we or our representatives, including forensic accountants, may require, and cooperate fully with us or our representatives in our investigations. Such cooperation includes you providing us with reasonable access to your premises, personnel and necessary documents for the purpose of the computation of the **Loss**.
2. Our determination of covered **Loss** will take into account any savings, recoveries or offsetting of **Loss**, which have been made or which could reasonably have been made.
3. We shall assess **Gross Profit Loss** based on an analysis of the profits generated by the **Contaminated Products**, and other **Insured Products**, which lost sales as a direct result of

the **Incident**, during each month of the twelve (12) months prior to the **Incident**. We shall also consider the following factors:

- a) the experience of your business before the date of the **Incident**;
 - b) all material changes in market conditions of any nature whatsoever, including but not limited to changes in competitive environment, consumer preferences, population, seasonal variations and other factors which would have affected the future marketing of and profits generated by the **Contaminated Products** or other affected **Insured Products**; and
 - c) the reasonable projection of the future profitability of such **Contaminated Products** and other **Insured Products** had no **Incident** occurred.
4. We shall apply standard accounting principles in determining the amount of any covered **Loss**. We shall apply the standard accounting principles recognized by the pertinent regulators in your jurisdiction. If more than one jurisdiction is potentially applicable, we shall apply the relevant principles of the jurisdiction in which the entity that has suffered the **Loss** is based.
 5. If we pay any covered **Loss** in currency other than U.S. Dollars, the exchange rate for payment of **Loss** shall be based on the published wholesale exchange rate on the date written notice of the **Incident** is received by us.
 6. You must submit to us a final written statement of **Loss** no later than twenty-four (24) months after your discovery of an **Incident**, regardless if we have made any interim payments.

H. **Confidentiality**

Unless you have our written consent or are under a legal obligation to do so, you will not disclose the existence or terms of this policy to any third party.

I. **Headings**

The descriptions in the headings of this policy are solely for convenience and form no part of the terms and conditions of coverage.

J. **Incident Response**

As a condition precedent to coverage, if you discover an actual or potential **Incident** that may involve this policy, you must immediately notify, in writing, the **Designated Incident Response Consultants**.

K. **Inspection**

We have the right, but are not obligated, to inspect your premises and operations at any time. Our inspections are not safety inspections. They relate only to the insurability of your premises and operations and the premiums to be charged. We may give you reports on the conditions that we find. We may also recommend changes. We do not, however, undertake to perform the duty of any person or organization to provide for the health or safety of your employees or the public. We do not warrant the health and safety conditions of your premises or operations or represent that your premises or operations comply with laws, regulations, codes or standards.

L. **Interim Loss Payments**

Upon your request, we will make interim payments of **Loss** following an **Incident**, and subject to our agreement of coverage applying to your claim. We will make such payments as soon as practicable after our receipt of all information we have requested, including an acceptable signed and sworn proof of **Loss** statement containing all information we requested as respects such **Incident**.

M. **Legal Actions Against Us**

No person or organization has a right under this policy:

1. to join us as a party or otherwise bring us into a suit asking for damages from you; or
2. to sue us under this policy unless all of its terms have been fully complied with.

A person or organization may sue us to recover on an agreed settlement or on a final judgment against you; but we will not be liable for damages that are not payable under this policy or that are in excess of the applicable Limits of Insurance of this policy. An agreed settlement means a settlement and release of liability signed by us, you and the claimant or the claimant's legal representative.

N. **Mitigation of Loss**

As a condition precedent to coverage, you must use take every reasonable action necessary to prevent, mitigate, avoid or diminish any **Loss** covered under this policy or **Incident**.

O. **No Defense Coverage**

We have no duty to defend you against any claim or suit. However, we do have the right, at our own expense, to participate with you in the investigation, negotiation, settlement or defense of any such claim or suit.

P. **Notice of Incident**

As a condition precedent to coverage:

1. You must immediately notify us, in writing, during the **Policy Period** or sixty (60) days after the expiration of the **Policy Period**, of any **Incident** that may involve this policy. To the extent possible, notice should include:
 - a) how, when and where of the **Incident**;
 - b) the names and addresses of any parties involved in the **Incident**; and
 - c) the nature and location of any **Incident**.

Written notice should be mailed, delivered, faxed or e-mailed to us at the addresses designated in the Declarations.

2. You and any other involved insured must immediately send us copies of any demands, notices, summonses or legal papers received in connection with the **Accidental Contamination, Malicious Contamination or Product Extortion**.

Q. **Other Insurance**

If other valid and collectible insurance applies to **Loss** or damages that are also covered by this policy, this policy will apply excess of the **Other Insurance**.

R. **Policy Territory**

This policy shall cover you in respect of **Incidents** happening anywhere in the world, unless applicable law prohibits such coverage.

S. **Premium**

The first Named Insured designated in Item 1. of the Declarations will be responsible for payment of all premiums when due. At the beginning of the **Policy Period**, you must pay us the Advance Premium shown in Item 6.A. of the Declarations.

When this policy expires or if it is cancelled, subject to Condition C. **Cancellation**, we will compute the earned premium for the time this policy was in force. We will retain the Minimum Premium as shown in Item 6.B. of the Declarations for each twelve months of the **Policy Period**.

T. **Product Extortion Investigation**

As a condition precedent to coverage for **Product Extortion**, you must demonstrate that, prior to a response to a **Product Extortion**, you have taken every reasonable action necessary to determine that the **Malicious Contamination** threat is valid and genuine, which includes seeking assistance from **Designated Incident Response Consultants**.

U. **Third Party Rights**

No third party shall have any rights under this policy. The rights of any third parties are excluded, to the extent legally permissible.

V. **Transfer of Rights of Recovery**

1. If any insured has rights to recover all or part of any payment we have made under this policy, including but not limited to any rights of recovery that the insured may have against any third party that supplies ingredients or other products to the insured, those rights are transferred to us. The insured must do nothing after an **Incident** to impair these rights and must help us enforce them.
2. Any recoveries will be applied as follows:
 - a) any person or organization, including the insured, that has paid an amount in excess of the applicable Limits of Insurance of this policy will be reimbursed first;
 - b) we then will be reimbursed up to the amount we have paid; and
 - c) lastly, any person or organization, including the insured that has paid an amount over which this policy is excess is entitled to claim the remainder.

Expenses incurred in the exercise of rights of recovery will be apportioned among the persons or organizations, including the insured, in the ratio of their respective recoveries as finally settled.

W. Transfer of Your Rights and Duties

Your rights and duties under this policy may not be transferred without our written consent. If you die or are legally declared bankrupt, your rights and duties will be transferred to your legal representative, but only while acting within the scope of duties as your legal representative. However, notice of cancellation sent to the first Named Insured designated in Item 1.A. of the Declarations and mailed to the address designated in Item 1.B. of the Declarations of this policy will be sufficient notice to effect cancellation of this policy.

X. Reckless or Intentionally Unlawful Conduct

You and we agree that this policy shall be null and void from inception in the event of your recklessly or intentionally unlawful conduct with respect to the purchasing of this policy or any **Incident** or **Incident Response Fees** incurred in response to an **Incident**. The provisions of this condition are without prejudice to the insured's duty of utmost good faith and any respective remedies of the parties in respect of any breach of duties.

Y. Violation of Economic or Trade Sanctions

We shall not be deemed to provide cover nor be liable to pay any claim or provide any benefit under this policy to the extent that the provision of such cover, payment of such claim or provision of such benefit would expose us to any sanction, prohibition or restriction, including under United Nations resolutions, or the trade or economic sanctions, laws or regulations of the European Union, United Kingdom or United States of America.

V. DEFINITIONS

A. **Accidental Contamination** means any inadvertent or unintentional contamination or mislabeling of any **Insured Products**, which occurs during or as a direct result of its production, preparation, manufacture, packaging or distribution, provided that the use or consumption of such **Insured Products** has:

1. resulted in or would result in **Bodily Injury** within three-hundred-sixty-five (365) days following such use or consumption; or
2. caused or would cause physical damage to or destruction of tangible property, other than **Insured Products** themselves.

B. **Adverse Publicity** means the reporting of an actual or alleged **Malicious Contamination** during the **Policy Period** in:

1. local, regional or national media (including but not limited to radio, television, newspapers, magazines, or the internet); or
2. any governmental publication;

where the **Insured Products** are sold or distributed and where the **Insured Products** is specifically named.

C. **Bodily Injury** means physical injury or sickness or disease sustained by any person, including death resulting from any of the foregoing at any time. **Bodily Injury** does not include emotional distress or mental anguish.

D. **Contaminated Products** means **Insured Products** that have sustained **Accidental Contamination** or **Malicious Contamination**.

- E. **Designated Incident Response Consultants** means the Designated Incident Response Consultants specified in Item 8. of the Declarations.
- F. **Extra Expense** means the reasonable and necessary cost (as limited below) of conducting your business activities, after an **Incident** has occurred, during the period necessary to clean or repair the location, owned or operated by you where the **Incident** occurred, for the sole purpose of reducing **Loss**. This policy only covers **Extra Expense** that exceeds the cost of such activities during the same period of time had no **Incident** occurred.

Extra Expense is limited to the following:

1. Any **Extra Expense**:
 - a) necessary to clean the machinery or location involved in the contamination or the handling of the contaminated product in order to recreate an environment in which safe products can be manufactured or handled; or
 - b) that may be required to maintain the salaries of the workforce as required by state laws, union or other work contract for a maximum period of six (6) months.
2. The costs to maintain a minimum work force at a minimal percentage of salary in order to be able to open the plant as soon as possible after a shutdown imposed by the Food and Drug Administration (FDA), United States Department of Agriculture (USDA) or other governmental organization.
3. Increased costs of subcontracting some or all of the manufacturing process to a contract manufacturer, in excess of your own manufacturing cost, for a period of time necessary, but not to exceed a maximum of twelve (12) months after the **Incident**, to restore your facilities to a state in which products can be manufactured or handled safely.

Extra Expense shall not exceed the amount by which **Loss** covered under the policy is thereby reduced.

- G. **Government Recall** means the withdrawal, removal, recovery of possession or control, or disposal of the **Insured Product** from a distributor, purchaser or user of your **Insured Product** ordered by relevant regulatory authority(ies) because of a potential **Bodily Injury** or physical injury to any animal arising out of the use or consumption of your **Insured Product**.
- H. **Gross Profit** means your reasonably projected revenue, which was lost solely and directly as a consequence of an **Incident**, offset by your variable costs that would have been incurred, but have been saved (including but not limited to the cost of raw materials), because of the lower sales experienced because of the same **Incident**.
- I. **Gross Profit Loss** means your loss of **Gross Profit** incurred because of an actual and certain decrease in your sales revenue caused solely and directly by an **Incident**, for the period:
1. specified in Item 9. of the Declarations, following discovery of the **Incident**; or
 2. during which your sales revenue remains less than the level that would have been reasonably projected had the **Incident** not occurred;

whichever shall be the period first to expire.

Any **Gross Profit Loss** shall be computed in accordance with Section IV. **CONDITIONS**, Condition G. **Computation of Loss** of this policy.

J. **Incident** means **Accidental Contamination**, **Malicious Contamination** or **Product Extortion**.

With respect to **Accidental Contamination**, individual contamination or mislabeling events shall be deemed to be one **Incident** if the same or substantially similar error or introduction of a contaminated ingredient or component causes such contamination.

With respect to **Malicious Contamination**, individual alterations or threatened alterations shall be deemed to be one **Incident** if the same person, organization or entity performs or threatens such alteration as part of a single sustained or copycat campaign or activity.

With respect to **Product Extortion**, individual assertions of a demand shall be deemed to be one **Incident** if the same person, organization or entity asserts such demand as part of a single sustained or copycat campaign or activity.

K. **Incident Response Fees** means:

1. reasonable and necessary fees and expenses of **Designated Incident Response Consultants**, including additional consultants appointed by **Designated Incident Response Consultants**, incurred to respond to an **Incident**; and
2. Reasonable and necessary fees and expenses, not to exceed \$50,000 USD or the equivalent in another currency, of **Designated Incident Response Consultants** incurred before we have confirmed coverage under this policy for a loss. However, if we determine that this policy does not cover such loss, our liability under this subparagraph 2. automatically ceases, regardless if \$50,000 USD (or the equivalent in another currency) has not yet been incurred.

L. **Insured Products** means:

1. Any topical and ingestible products for human consumption or any of their ingredients or components as shown in Item 10. of the Declarations, provided such:
 - a) are in production by you;
 - b) have been manufactured, handled or distributed by you;
 - c) are manufactured by any contract manufacturer for you; or
 - d) are being prepared for or are available for sale.
2. Any new product(s) outside the existing product line(s) provided that:
 - a) written notice is given to us no less than ninety (90) days prior to its introduction for sale;
 - b) you did not know nor could reasonably have been expected to know as of the date of the written notice to us that an **Incident** affecting the new product(s) had occurred; and
 - c) we have given written acceptance of such new product(s). Such acceptance will not be unreasonably withheld and will be given or refused within thirty (30) days of our receipt of the written notice. At our option, such acceptance by us may be accompanied by changes in one or more of the terms, conditions or premium of the policy.

Variations of existing product line(s) and/or new blend(s) are not considered a new product.

- M. **Investigation Expenses** means one of more of the following reasonable and necessary costs and expenses incurred by you for:
1. chemical analysis;
 2. physical examination; or
 3. other laboratory testing;
- provided such items above are incurred to confirm contamination of an **Insured Product** or the potential effect of an **Incident**.
- N. **Loss** means your reasonable and necessary expenses, as follows:
1. **Extra Expense**;
 2. **Gross Profit Loss**;
 3. **Investigation Expenses**;
 4. **Product Extortion**;
 5. **Recall Expenses**;
 6. **Rehabilitation Expenses**; or
 7. **Third Party Recall Expenses**;
- provided such items above arise solely and directly out of an **Incident** and are incurred within twelve (12) months after your discovery of such **Incident**.
- O. **Malicious Contamination** means alteration or the threat of alteration of any **Insured Products**, whether intentional, malicious or illegal, which gives you or the public a reasonable belief of such alteration of such **Insured Products** are likely dangerous or unfit for the **Insured's Products'** intended use, or creating **Adverse Publicity**, provided such **Malicious Contamination**:
1. be intended to cause **Bodily Injury**, property damage or economic harm specifically directed toward you;
 2. be intended to create the impression of **Bodily Injury**, property damage or economic harm specifically directed toward you; or
 3. be intended to cause **Bodily Injury** to, or damage to property of, any of your employees or customers.
- P. **Other Insurance** means a valid and collectible policy of insurance providing coverage for damages covered in whole or in part by this policy. However, **Other Insurance** does not include the **Retained Limit**.
- Q. **Policy Period** means the policy period specified in Item 2. of the Declarations.
- R. **Product Extortion** means a third party's assertion of a demand made to you for monies or other valuable consideration (net of any recoveries subsequently made) to avoid **Malicious Contamination of Insured Products**.
- S. **Recall Expenses** means the following costs and expenses reasonably and necessarily incurred by you arising solely and directly out of an **Incident** for the purpose of or in connection with recalling, withdrawing, reworking, destroying or replacing **Contaminated Products**:

1. expenses of communications including emergency incident phone lines, public relations specialists, radio, television, internet and media announcements, newspaper and magazine advertising;
 2. additional expense of rent or hire of additional warehouse storage;
 3. costs of examining, disposing, reworking or destroying the **Insured Product**, whichever is the least, but not exceeding the cost of replacement;
 4. value of any recalled or destroyed contaminated **Insured Product**, including the value of packaging materials that cannot be reused, calculated on a replacement cost basis;
 5. costs of redistributing the **Insured Product**;
 6. transportation costs of the **Insured Product** being moved from any purchaser or customer, to a destination designated by you;
 7. employee overtime paid specifically for the recall of the **Insured Product**;
 8. costs to hire additional staff to work on the recall of the **Insured Product**;
 9. out of pocket expenses of employees incurred while engaged in the recall of the **Insured Product**; or
 10. costs relating to cancellation of promotional advertising retail shelf slotting fees.
- T. **Rehabilitation Expenses** means your reasonable and necessary sales and marketing expenses as a direct result of an **Incident** to re-establish the sales level and the market share of the **Insured Products** affected by such **Incident** to reasonably projected sales, including any material changes in market conditions of any nature, level of sales or market share anticipated prior to the **Incident**. **Rehabilitation Expenses** do not include the cost to replace or upgrade defective or inadequately performing machinery or to make capital improvements.
- U. **Retained Limit** means the amount specified in Item 5. of the Declarations, which is the uninsured amount for loss for which you are responsible for each and every **Incident**. Our Limits of Insurance shall not be reduced by the amount of the **Retained Limit**.
- No **Retained Limit** shall apply to **Incident Response Fees**.
- V. **Third Party Recall Expenses** are your customer's reasonably and necessary **Recall Expenses** incurred by such customer to recall their contaminated product, which uses your **Insured Product** that has been the subject of an **Incident** as an ingredient or component.